

KAKUZI LIMITED

EXTRACT FROM THE INTERIM FINANCIAL STATEMENTS FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2012

The unaudited results for the Kakuzi Group for the period of six months to 30 June 2012 and the comparative figures for the previous year are as follows:

Condensed Consolidated Statement of Comprehensive Income		
	30 June 2012 Shs'000	30 June 2011 Shs'000 Represented
Sales	336,109	394,103
Profit before fair value gain in Biological assets and income tax	98,521	50,204
Fair value gain in Biological assets	18,025	9,425
Profit before income tax	116,546	59,629
Income tax expense	(45,303)	(21,577)
Profit for the period from continuing operations	71,243	38,052
Profit for the period from discontinuing operation	32,147	93,533
Profit for the period (of which Shs 152,582,568 has been dealt with in the accounts of the company)	103,390	131,585
Other comprehensive income	-	-
Total comprehensive income	103,390	131,585
Total comprehensive income attributable to:		
Equity holders of the company:		
Profit for the period from continuing operations	71,243	38,052
Profit for the period from discontinuing operation	16,235	47,234
Profit for the period attributable to equity holders of the company	87,478	85,286
Non-controlling interest: Profit for the period from discontinuing operation	15,912	46,299
	103,390	131,585
Earnings per share attributable to equity holders of the company:		
Basic and diluted earnings per stock unit (Shs)	4.46	4.35

Condensed Consolidated Statement of Financial Position			
	30 June 2012 Shs'000	30 June 2011 Shs'000	Audited 31 Dec 2011 Shs'000
EQUITY			
Share capital	98,000	98,000	98,000
Other reserves	2,413	-	2,413
Retained earnings	2,412,635	1,933,465	2,325,157
Proposed dividends	-	-	73,500
Attributable to company's equity holders	2,513,048	2,031,465	2,499,070
Non-controlling interest	193,880	239,187	257,695
Total equity	2,706,928	2,270,652	2,756,765
Non-current liabilities	601,566	637,278	709,398
	3,308,494	2,907,930	3,466,163
REPRESENTED BY			
Non-current assets	2,315,269	2,486,015	2,642,675
Current assets	263,717	330,512	277,313
Cash and cash equivalents	526,403	525,252	897,332
Assets classified as held for sale	675,303	-	-
Current liabilities	(188,883)	(433,849)	(351,157)
Liabilities classified as held for sale	(283,315)	-	-
Net current assets	993,225	421,915	823,488
	3,308,494	2,907,930	3,466,163

Overview:

The interim financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS). Tea production has been down on last year's level while prices have remained firm. This coupled with the appreciating Kenya Shilling has resulted in reduced Tea profits. The early outgrower Fuerte Avocado season was reasonable. Prospects for the Hass Avocado season are not, as yet, quantifiable regarding pricing and volumes.

Sireet Outgrowers Empowerment and Producer Co Ltd (formerly EPK Outgrowers Empowerment Project Company Ltd) advised Kakuzi Ltd on 18 May 2012 of its intention to purchase the balance 50.5% shareholding in Sireet Tea Company Ltd (STCL) in accordance with the framework agreement signed in 2007. The Competition Authority of Kenya has given approval for this sale and as a result, STCL operations have been treated as assets held for sale at the reporting date and income and expenses are reported separately from the continuing operations of the Kakuzi Group.

The Directors do not recommend the payment of an Interim Dividend.

BY ORDER OF THE BOARD

K W Tarplee
Chairman
30 August 2012